

Amendment No. 8 to SB1431

Yarbro
Signature of Sponsor

AMEND Senate Bill No. 1431*

House Bill No. 1409

by adding the following as a new, appropriately designated item at the end of Section 47:

Item ____.

(a) From the recurring general fund appropriation of \$145,920,000 and the recurring sum of \$2,700,000 appropriated in Sections 1 and 9 of Chapter 4, Public Acts of 2025 (Senate Bill 5 / House Bill 5) (1st Extraordinary Session), and reappropriated in Section 1, Title III-9, Item 1.5, of this act and in Section 36, Item 121, of this act, to the Department of Education for the sole purpose of implementing Chapter 7, Public Acts of 2025 (Senate Bill 1 / House Bill 4) (1st Extraordinary Session), relative to Education Freedom Scholarships, there is transferred and appropriated to the general fund the recurring sum of \$148,600,000 to be used solely for the purposes of this item.

(b) At June 30, 2026, from state revenues and other funds available to the general fund and education fund in excess of requirements for the year ending June 30, 2026, the Commissioner of Finance and Administration shall establish a reserve for future K-12 funding formula requirements in the amount of \$145,920,000. It is the legislative intent that such reserved amount be available for a nonrecurring appropriation to the Tennessee Investment in Student Achievement (TISA) funding formula in fiscal year 2026-2027 and that recurring state revenue in that amount be available for the TISA formula appropriation, in addition to an amount otherwise available for appropriation to the formula. It is the legislative intent that such additional recurring funds be used to improve the

funding formula, including local education services and teacher salaries, and that the nonrecurring, reserved funds be distributed for nonrecurring local education purposes, such as school safety improvements, major maintenance, capital outlay, school educational supplies, and similar one-time uses. It is further the legislative intent that any unexpended balance of the nonrecurring, reserved funds continue to be reserved until expended.

AND FURTHER AMEND by adding the following as a new, appropriately designated item at the end of Section 60:

Item _____. Teacher Bonus.

(a) From the nonrecurring funds appropriated in Section 1 of Chapter 4, Public Acts of 2025 (Senate Bill 5 / House Bill 5) (1st Extraordinary Session), for the sole purpose of implementing Chapter 7, Public Acts of 2025 (Senate Bill 1 / House Bill 4) (1st Extraordinary Session), relative to Education Freedom Scholarships, and reappropriated in Section 1, Title III-9, Item 2.1b, of this act, there is earmarked the nonrecurring sum of \$198,367,600 to be used for the purpose of awarding a one-time bonus in an amount that is no less than two thousand dollars (\$2,000) to each teacher employed in a kindergarten through grade twelve (K-12) public school in this state for the 2024-2025 school year.

(b) The department shall award a one-time bonus pursuant to this item to each teacher employed in a kindergarten through grade twelve (K-12) state special school managed and controlled by the department.

(c) Notwithstanding other provisions of this item, a teacher who was employed in a kindergarten through grade twelve (K-12) public school in this state for the 2024-2025 school year and who is a member of the general assembly on the effective date of this act, is ineligible for the one-time bonus provided pursuant to this section.

(d) A bonus awarded pursuant to this item is solely state funded.

(e) It is the legislative intent that bonuses paid to teachers pursuant to this item are not part of the Tennessee Investment in Student Achievement (TISA) program, as defined in Tennessee Code Annotated, Section 49-3-104, and must not be considered salary payments or supplements for purposes of Section 49-3-306.

(f) It is the legislative intent that the bonus must be included as earnable compensation, as defined in Tennessee Code Annotated, Section 8-34-101(14), for retirement purposes, but is not made for the purpose of increasing a member's retirement benefit or inducing a member to retire.

(g) For purposes of this item, "teacher" means an individual who is evaluated pursuant to Tennessee Code Annotated, Section 49-1-302(d)(2) and who provides direct service to students at school sites.